

Micro I, class 24

I presented the formal definition of an extensive form game, and of a subgame. I illustrate both with three games: the “entry deterrence” game (Example 1 of an extensive form game); the Stackelberg duopoly game; and the “Strategic Moves” example.

Next up is the repeated prisoners’ dilemma. I recommend you look at my notes on the twice-played prisoners’ dilemma on Canvas. Consider these questions: what are the SPNE;? what are the SPNE outcomes;? what are the NE outcomes? I will start with this example on Tuesday, then move on to the infinitely repeated prisoners’ dilemma.